

PART FOUR

Managing Teams



12.

Leading Teams

Leading a team means managing multiple people who come together to achieve a shared goal. Whether your team is project-focused, functional, or cross-functional, you face a common set of opportunities and challenges that come with bringing together unique individuals in the workplace. You're uniting people with fundamentally different points of view, distinct skill sets, and varying backgrounds and requiring them to work together closely.

These differences, of course, are exactly why teams have the potential to achieve impressive outcomes. When you assemble a group of people who think differently, you put ideas into competition with each other. You look at problems from multiple angles and find solutions together that no single person could have come up with. You build productive relationships with stakeholders who have different viewpoints, expertise, and needs. And you motivate all team members to bring their best, because they know their expertise counts and their individuality is valued.

Your job is to make sure all members of your team contribute to their full potential, making the team as highly effective as possible. In this chapter, you'll learn how to put together a well-balanced team that can execute

its mission, whether they're collaborating across cultures, virtually, or in the face of conflict.

Team culture and dynamics

As the group's leader, your goals here are twofold. First, you must make sure that your team captures the right mix of competencies required to achieve its objectives, without duplication or gaps. Second, you must create a work environment that allows people to contribute fully, so that they can bring their unique abilities and viewpoints to bear on the work itself. The result: a supportive, collaborative team culture, where diverse individuals can interact productively in pursuit of the group's shared purpose.

If you're working with an established team, use the team audit in exhibit 12-1 to learn as much as you can about how the team currently functions, its strengths and weaknesses, and where you may need to focus your efforts.

Whether you are starting a new team from scratch or assessing the needs of a group you've inherited, here's what you can do to build a strong, supportive team culture:

Step 1: Assemble your team

Begin by evaluating the diversity of your team's composition relative to the competencies you need. Learn as much as possible about team members, including their training and skills, professional background, work style, motivations and goals, and life experience. This allows you to plan for how to maximize each individual's contributions.

Use the information you've gathered to evaluate whether your team has the right balance of competencies. Use exhibit 12-2 as a starting point.

If you're creating a new team, use these insights to find people who can carry out these tasks; if you have inherited an existing team, you may need to present a proposal to your boss to get approval to add members. As you look for the right individuals, ask for referrals and recommendations

EXHIBIT 12-1

Prompt: Team audit

Use this audit to gather information from each team member about the current strengths and weaknesses of your team’s culture. Ask each person to complete the audit privately and then compile anonymized responses into a group profile and share with the group. During a meeting, ask the team to discuss the results and come up with priorities for future growth.

Cultural dimension	Rating: 1 = ineffective; 5 = very effective					Comment/ Example
	1	2	3	4	5	
Achieving our goals and purpose						
Improving our work processes						
Feeling a sense of team identity						
Making decisions						
Communicating						
Resolving conflicts						
Participating in the team						
Generating creative ideas and solutions						
Combating groupthink						
Ensuring effective team leadership						
The biggest challenge we face as a team is:						
Our greatest strength as a team is:						
The one thing I would most like to see the team do is:						
Source: Mary Shapiro, <i>HBR Guide to Leading Teams (ebook + Tools)</i> . Boston: Harvard Business Review Press, 2015.						

from your colleagues, your network, your management team, and subject-matter experts. Seek out other people who have run teams like this in your company, or outside it, and touch base with your HR career office. If you already have a few key, founding members of the team, involve them in this process, too.

EXHIBIT 12-2

Making the most of diversity

To complete the tasks at hand, you need members who bring:	To get everyone working well together, enlist members who excel at:
• Relevant functional expertise (for example, in engineering, accounting, marketing, finance, or customer service) • Relevant industry knowledge (for example, in manufacturing, technology, health care, or financial services) • Relevant professional networks (for example, relationships with clients, partners, or vendors) • Relevant task experience (for example, project management, event planning, client services) • Technological skill • An appetite for research • The ability to mine and analyze data • A knack for writing and presenting	• Facilitating meetings • Building consensus • Giving feedback • Communicating in groups • Resolving conflicts • Negotiating • Motivating others • Exercising emotional intelligence • Influencing others—and accepting influence in turn • Networking with people outside the team who can provide resources

Source: Adapted from Mary Shapiro, *HBR Guide to Leading Teams (ebook + Tools)*. Boston: Harvard Business Review Press, 2015.

Step 2: Hone your sense of purpose

“The essence of a team is common commitment,” say Jon Katzenbach and Douglas Smith, organizational consultants formerly with McKinsey & Company. “Without [a common commitment], groups perform as individuals; with it, they become a powerful unit of collective performance. This kind of commitment requires a purpose in which team members can believe.”

Your role as a leader is to develop this common commitment, a purpose that vests individuals to the team’s success. Even if your team has been in existence for some time, this exercise is very helpful to ground everyone in your mission. Leadership teams review their purpose regularly to accommodate any shifts or adaptations, for example.

One way to get started is to call a team meeting, preferably with a whiteboard. Start by having everyone comment on why the team exists, what demand or opportunity brought the team together. Why did upper

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management create your group, and what mandate do you have? (If you don't have a clear answer to this question yourself, pose it to your boss and anyone else responsible for the group.) Next, ask team members to elaborate on this bare-bones mission. Ask questions like:

- How does our work support the strategic goals of the company?
- How will we define success? What does “a job well done” look like?
- How do we want to work to affect the people who come in contact with us—customers, clients, others in the company?
- How will being part of this team make us feel? What group ethos will we have?
- How will our team's outcomes affect the larger world—our industry, or community, and so on?

Write down ideas and draw out themes until you have a coherent mission statement that embodies a common perspective. Then invite the team to endorse it.

Step 3: Set team performance goals

Every team in the company should have goals that support the organization's strategy. These goals describe specific, attainable short-term objectives that pertain to the team *as a unit*. Katzenbach and Smith suggest, “Getting a new product to market in less than half the normal time,” for example, or “responding to all customers within 24 hours.” They translate the high-level purpose you defined in the previous step into concrete action.

With these goals in place, individuals cannot measure their contributions against one another, counting beans and keeping score. Instead, they need to measure their success as a unit. “*We* met this goal,” or “*We* failed.” Success redounds to the whole team, no matter their internal divisions, and failure can't be assigned to any one subgroup.

To achieve this effect, you need to choose goals that involve *everyone's* work. Don't specify outcomes that mainly depend on salespeople and that

Rules inventory

RESPECT AND TRUST

- Keep conversations confidential.
- Be punctual to work and to meetings.
- Avoid sarcasm, snide remarks, or melodramatic body language (such as eye rolling) when conveying disagreement.
- Listen without interpreting people's motives. Ask why they said, did, or asked for something.
- Respect other people's ways of accomplishing tasks; don't redo work or impose your way on others.

MEETING DISCUSSIONS AND DECISION MAKING

- Share "airtime," listen, and don't interrupt others.
- Invite quiet people to speak.
- Stop advocating for your position after a decision has been made.
- Support the team's final decision, even when it's different from the one you proposed.

FEEDBACK AND REPORTING

- Give the team status updates according to the prescribed processes (which the team determines).
- Give a heads-up and be responsible for the consequences if you have to miss a deadline.
- When giving or receiving feedback, put it in the context of helping the team move toward its goals. Give positive feedback frequently and negative feedback constructively.
- Admit your own mistakes.

(continued)

CONFLICT RESOLUTION

- Assume that every team member is working in good faith toward the team's goals.
- Discuss conflict with the goal of identifying what is best for the team's future.
- Discuss the conflict first with the person involved; avoid talking behind anyone's back.
- Don't yell, use profanity, make threats, or walk out of discussions.

Source: Adapted from Mary Shapiro, *HBR Guide to Leading Teams*. Boston: Harvard Business Review Press, 2015.

the finance people have nothing to do with. For each goal, go through a mental list of everyone on your team: How will each person contribute?

Step 4: Define group norms

Diversity of thought and perspective is your best bet when developing a high-functioning, high-achieving team, but it doesn't come without its challenges. That's because difference breeds conflict. If someone works best under a fixed plan, the colleague who insists on improvisation is going to stress him out. Likewise, if someone is used to looking at a certain task through a sales lens, she's not going to appreciate it when a marketing expert waltzes in with his own way of doing things.

More insidious are conflicts that arise from cognitive biases about racial, gender, and ethnic differences. These biases can cause us to discount the contributions of people who don't mirror our way of thinking or our sense of self. Lack of communication and mutual respect can ultimately lead to intolerable frictions and even collective failure.

To preserve diversity and reconcile differences, everyone should have a clear picture of what being a good team member looks like. These rules "make team members' behavior more predictable," says Mary Shapiro, an

expert on teams and professor at the Simmons School of Management. Providing guidelines means that “you won’t have to play bad cop as often.” Group norms also settle some of the social uncertainty that can accompany diverse personalities coming together. An additional benefit is that you’ll spend less time talking about group processes, such as how to deliver status updates. And you’ll have clear, uniform ways of handling difficult interactions like giving feedback or resolving conflict. These rules apply to you, too, says Shapiro: they “clarify what others may expect of you as leader.”

Build this list in a group brainstorming session. Use the box “Rules inventory” as a menu of options to get the conversation started.

Step 5: Build relationships within the team

Teams run on trust—in each other and in you. To overcome communication and coordination barriers, your team members need strong personal relationships. If they see each other as human beings, they’re more likely to reach out for help, share ideas, and assume good faith when conflict does arise. In particular, strong relationships will help you keep valued team members who might otherwise feel marginalized by the group.

To build trust on your team, include social face time in all group interactions, and dedicate a communication channel like group chat for casual check-ins and banter. Encourage team members to set up weekly office hours, when their colleagues can swing by their office or video chat them without going through the hassle of making an appointment. Pair team members on a rotating buddy system for regular one-on-one lunches. It’s OK to do something cheesy—doing something silly together is sometimes the best team-building exercise of all.

The work you do at the beginning of your tenure as team leader will make a big difference to the group’s trajectory. By calibrating competencies and adding structure to the group’s work, you can help your people work together toward a shared goal and succeed *because of* their differences, not in spite of them.

Managing cross-cultural teams

Cross-cultural teams allow you to call on the best specialists worldwide and capture valuable insight into local markets, customer bases, manufacturing conditions, and more. But leading a team with people from different nations and backgrounds comes with special challenges. Left unattended, these differences can become major sources of conflict. (For an example of what can go wrong, read the box “Case study: Manager in the middle.”) Even worse, your company can’t compete and grow globally if its employees are unable to collaborate across cultures. But you have more maneuvering room in this situation than you may think.

Observe closely

Understand potential sources of conflict *before* they erupt. Professors Jeanne Brett (Northwestern), Kristin Behfar (University of California, Irvine), and Mary C. Kern (Baruch College) identify four key areas you should address in teams that span different cultures:

- **Direct versus indirect communication.** Some team members use direct, explicit communication, while others are indirect, asking questions instead of pointing out the problems with a project, for example. When members see such differences as violations of their culture’s communication norms, relationships can suffer.
- **Trouble with accents or fluency.** Members who aren’t fluent in the team’s dominant language may have difficulty communicating their knowledge. This can prevent the team from using their expertise and create frustration or perceptions of incompetence on both sides.
- **Differing attitudes toward hierarchy.** Team members from hierarchical cultures expect to be treated differently according to their status in the organization. Members from egalitarian cultures do not. Failure of some members to honor those expectations can cause humiliation or loss of stature and credibility.

- **Conflicting decision-making norms.** Members vary in how quickly they make decisions and in how much analysis they require beforehand. Someone who prefers making decisions quickly may grow frustrated with those who need time.

To combat these issues:

Foster open-mindedness

Encourage your people to look at cultural conflicts from the other side's perspective: "Why do you think [colleague] is doing that?" "Could there be a cultural issue at play here? What might it be?" Where appropriate, use one of the four cultural lenses just discussed to identify problems: "I wonder if this is a communication problem. Here's why . . ." If it's not possible to hold a full discussion on the topic, you can still push people to frame their problems as cultural, and not personal, differences: "I understand why you're frustrated. But everyone on this team doesn't share the same attitude toward authority, and that's a difference we have to work around if we're going to succeed."

The goal is for your team members to become self-aware enough to manage their frustrations without forming implacable grudges. Ultimately, you may decide that some cultural norms actually *benefit* the group in different circumstances. If so, these practices of open-mindedness may help your team become psychologically nimble enough to bounce back and forth between styles depending on the context.

Intervene judiciously

In general, it's best if your team members learn to adapt to these differences on their own. But sometimes you may need to intervene directly to resolve an issue or at least moderate its impact on the rest of the team. If you're in this situation, use the conflict-resolution techniques discussed later in this chapter. With cross-cultural teams, you may not always know when conflict is brewing, because team members may not feel comfortable opening up to you (as in the "Manager in the middle" case). If you suspect this is happening, talk to someone with firsthand experience of the culture in question. Ask for their take on what might be happening and for advice about how to approach the affected team members.

CASE STUDY

Manager in the middle

When a major international software developer needed to produce a new product quickly, the project manager assembled a team of employees from India and the United States. From the start, the team members could not agree on a delivery date for the product. The Americans thought the work could be done in two to three weeks; the Indians predicted it would take two to three months. As time went on, the Indian team members proved reluctant to report setbacks in the production process, which the American team members would find out about only when work was due to be passed to them.

Such conflicts, of course, may affect any team, but in this situation, they arose from cultural differences. As tensions mounted, conflict over delivery dates and feedback became personal, disrupting team members' communication about even mundane issues. The project manager decided he had to intervene, with the result that both the American and the Indian team members came to rely on him for direction regarding minute operational details that the team members should have been able to handle themselves. The manager became so bogged down by quotidian issues that the project careened hopelessly off even the most pessimistic schedule, and the team never learned to work together effectively.

Source: Jeanne Brett, Kristin Behfar, and Mary C. Kern, "Managing Multicultural Teams," *Harvard Business Review*, November 2006.

Managing virtual teams

Just as cross-cultural teams have become increasingly common, virtual teams have become almost ubiquitous. You're leading a virtual team if your people don't consistently share a location. Maybe some members of your team are permanently anchored in Singapore, while others are in Seattle,

or maybe frequent travel means that *someone* is always calling in from the road. Perhaps some individuals work from home a few times a month or are scattered across so many different floors that even though you all work in the same building, you're more likely to meet over Skype than in a conference room.

While leading any team involves a mix of managing people and processes, virtual leaders must perform these functions without face-to-face accountability. Although you may have more technological options to keep connected than ever before, these tools don't always empower strong virtual connections. Here's how to stay on top of the work, even when you can't see the people doing it:

Pick the right tools.

The technologies you use will have a tremendous impact on your team's ability to function in a virtual environment. First, figure out what your team needs, what resources are presently available to you, and the security policies and restrictions of your company. Evaluating existing resources involves looking at what your team members have in place on their end, but also at the tools your organization brings to the table. Run through the list in the box "Checklist for technology setup" to find the issues that will be most relevant to your needs.

Checklist for technology setup

CHOOSING HARDWARE AND SOFTWARE

- What quality of internet access do team members need and are their current setups sufficient? Ask them to perform an internet speed test.
- What will be your primary means of team communication—email, phone, IM? How will you conduct meetings—phone, video?

- What hardware and software will team members need to communicate, create, and share content? What compatibilities will you require?
- What capacities do team members need to have on their phones? Do team members need to be on the same mobile operating system (Android versus iOS)?
- Will you need project management or issue tracking software (such as Asana, Smartsheet, SharePoint, JIRA, Microsoft Project, or Basecamp)?

STORING AND SYNCHRONIZING TEAM MATERIALS

- How much storage capacity will you need? Should it be scalable?
- Will you store content on hard drives, company servers, or in the Cloud (such as Dropbox or Google Drive)? What are security concerns, risks, and rules?
- Will you synchronize content, updating files automatically across the whole team? Will you need versioned documents or an ability to track who made changes?
- Will you need to share or synchronize calendars?

BUDGET AND SECURITY

- What is your budget for all technology—purchase, installation, storage, and maintenance? What capital expenses do you have to plan for, versus operational expenses?
- What costs will the organization bear, and what will individual team members pay for?
- What security requirements or protocols does your company have for transmitting and storing sensitive data?

Clarify expectations for engagement.

Everyone who's worked with virtual collaborators has experienced "ghosting" in some form, when a colleague just stops answering emails and phone calls. Remote work can lend plausible deniability to wrongdoing with this sort of behavior: "I just didn't see your email!" Remove that veil by setting clear expectations for what an engaged team member looks like. Ban multitasking on calls, and make a point of calling on people who aren't contributing. Set an email policy, stipulating how quickly people should answer emails and return calls. When team members travel, encourage them to set aside extra time after their trip to catch up on missed connections. Then enforce these rules with low-touch, regular check-ins over text or IM: "I haven't heard much from you this week. Where are you on X project? Do you need anything from me to keep things moving?"

Technology crisis card

Ask all team members to keep this basic information on hand (on their desktop, in their purse) for when things go wrong.

- Name of your internet service provider and a helpline phone number
- Name of the account holder and your account number
- Account information for your most important tools (the email address or name it's registered under, password hints, security questions, purchase information)
- Name and version of your computer's current operating system
- Name and phone number of an in-home IT service

Have a backup plan.

At some point, your teleconference app *will* crash. The colleague who's supposed to give a presentation *will* lose their internet access ten minutes into your meeting. Help your people take these obstacles in stride by asking them to make a "technology crisis card" ahead of time, so they can quickly sort out problems as they arise (see the box). Encourage them to use the buddy system, too, so that when something goes wrong, they can turn to a designated colleague for help or an update.

Foster social bonds.

Remote work can be very isolating. Without regular face time, team members may struggle to build trusting relationships and may wonder if anyone really sees—and appreciates—their work. To keep motivation high, make low-stakes social time a priority in your team's routines. Friday afternoon check-ins over video chat, regular "office hours" on IM, even an ice-breaker routine at the beginning of each meeting can make all the difference. Don't always worry about keeping things focused on work during these mini-interactions. Your team members need to learn to relate to each other at the personal level, too.

It's equally important for you as a manager to engage effectively with all employees, especially if some are co-located with you and others are virtual. Make a special point to connect with virtual team members personally to build and maintain strong relationships over time. Use Skype or other video tools as often as possible to connect personally and hold yourself accountable for engaging virtual employees fully in team discussions.

Virtual teams require a lot of organization up front, especially from you. But once you've covered these basics, your people will be working as effectively apart as they ever could together.

Productive conflict resolution

Conflict is an unavoidable, even necessary, part of collaboration, and all teams experience it, not just cross-cultural or virtual ones. “There will, even should be, conflict in a group with a task that has even a minimum of complexity,” according to Jeanne Brett, a professor at Northwestern’s Kellogg Graduate School of Management and director of its Dispute Resolution Research Center. Teams that don’t disagree also don’t challenge assumptions, investigate ideas, point out mistakes, and motivate each other to their highest performance. Indeed, the whole point of fostering diversity on your team is to bring different viewpoints to the table. To some extent, you *want* these viewpoints to come into conflict; that’s how creativity and learning happen.

But, of course, not all conflict is useful. Personality clashes and task-related disagreements can bring a destructive toxicity.

Many managers believe that their role is to minimize all conflict on the team. Not so. The trick is to encourage *healthy* conflict. That means facilitating constructive conflicts and resolving harmful ones. Here’s the difference: healthy disagreements result in a better work product and/or stronger intrateam relationships. Unhealthy disagreements undermine your shared accomplishments and damage the team’s working relationships.

It can be a tough call to make in the moment—“Should I let my employees pursue this disagreement, or is it time to intervene with a conflict resolution?” You’ll have to go with your instinct a lot of the time, but when you’re really torn, ask yourself: Is this productive? Is this moving us closer to or further from a positive outcome?

If your answer to the first questions is yes, your best bet is probably to encourage debate and discussion so that each side can confront the other’s point of view. This isn’t a free-for-all: you still need to be actively involved as a moderator, so that the conversation stays respectful and on track. But if your answer is no, your people may need the structure of a conflict-resolution process to reach closure. Here’s how to handle both situations:

How to facilitate constructive conflict

It's not easy to fight well, but shared processes help. Clarify your expectations with the team before a major conflict arises, either by posting your own rules somewhere (in a meeting room, on the team site) or by leading the group in a shared discussion of norms. Address these key topics:

Set ground rules.

Naming the behaviors that are and aren't OK during a conflict will keep disagreements from spiraling out of control. Every team is different, and the specific personalities and organizational culture at play will dictate what makes sense in your particular environment. One rule, though, applies universally: conflict should be handled openly. Disagreeing with someone isn't inherently disrespectful, and if team members choose not to voice their opinion, they should be prepared to let it go. For other potential guidelines, see the earlier box "Rules inventory."

Establish a shared process for resolving conflict.

If team members know what to do when friction arises, they won't shy away from necessary disagreements, and more often than not, they'll be able to solve their own problems. Clear, step-by-step protocols for handling conflict should be a central part of your team's normal processes. One such protocol should deal with formal conflict resolution, addressed later. But spell out the lower-stakes alternatives, too. For example, team members should:

- Respectfully confront the colleague they disagree with before they bring in anyone else, including you.
- Talk about complicated issues face-to-face or over video chat, not over email.
- Prepare on their own before they open a discussion with each other, so they come ready to explain their concerns and discuss alternatives.

- Take turns summarizing each other's ideas or concerns—in good faith. By forcing themselves to articulate each other's point of view, they might find new ground for compromise.
- Put the discussion on pause when they feel themselves losing track of the argument or their own self-control.
- Escalate the argument without becoming vindictive or angry. When disagreements prove intractable, frame it as “We need help sorting this out,” not “The team leader will decide who's right and who's wrong.”

Provide criteria for contentious trade-offs.

When zero-sum decisions arise for a team, it's helpful to have some well-defined criteria for making trade-offs. Fortunately, your team has these at hand, in the form of your organization's overall strategy and the purpose and objectives this strategy has already defined for your group's work. Clarify these points with your people and be specific about your goals and highest priorities. For example, “Meeting the deadline for this assignment is more important than fulfilling its scope” or vice versa.

How to resolve destructive conflict

With practice, your team members may learn to manage constructive conflict mostly on their own, with little intervention from you. By contrast, a formal conflict-resolution process always involves you. Sometimes your employees will bring an issue to your attention and ask for your help. But if they're not self-aware enough to do this, you may need to take the initiative and ask them to participate. However you start off, the process should have three phases:

Step 1: Find the root cause.

This step may require some research on your part. If the conflict is complicated or long-standing, you'll want to know what's going on before you invite two tense people to a meeting to hash it out. If you do decide to involve other people in your inquiry, try to talk to all parties involved in the conflict

separately. And follow up with anyone else on the team whose perspective could clarify the problem, if you can do it sensitively. The questions you want to clarify *for yourself* through these interviews are:

- Why are team members arguing with each other?
- Is there a deeper personality conflict here?
- Are there organizational causes of this conflict?
- Is this a recurring pattern?
- Why does one member always insist on getting his or her way?
- Is the cause of this conflict a behavior? A clash of opinions? An external situation?

When you have some answers to these questions, you'll be able to start generating ideas for negotiating a resolution. For example, if the conflict is caused by a personality clash, you'll probably need to help the team members learn to communicate better with one another and be more respectful when they disagree. If the conflict is caused by project circumstances, you and your team can brainstorm fixes like hiring additional resources, redefining roles, or modifying the scope of the work.

Step 2: Facilitate a resolution.

You may have a few ideas for how this situation should evolve, but it's best to avoid dictating a solution. Solutions don't work simply because they make sense or because you said so; they work when they have buy-in from the people who have to execute them. For this reason, compromises that are imposed from above tend not to be as thorough or as resilient as the ones a team arrives at by itself.

Frustrating as it may be, play no more than a facilitating role. Your listening-to-telling ratio should be 4:1, and the "telling" part should mostly be active listening tactics to help team members understand underlying assumptions. That means asking open-ended questions, restating and re-framing team members' perspectives, and encouraging the other people

in the room to do the same. Set the tone for this discussion by reminding people to stick to the facts, to talk about behaviors instead of traits, and to follow the team's ground rules for conflict.

If the team members resist coming to a resolution despite your best efforts, you may need to steer the conversation a little more decisively. Leadership coach Lisa Lai recommends using these five questions to facilitate the conversation:

1. What does each person *really* want?
2. What matters to them, personally and professionally?
3. What motivates them? What fears do they have?
4. Where is there common ground?
5. What's the difference between their stories?

If the conversation really seems stuck, try these tactics:

- Ask each team member to share their BATNA. In negotiation parlance, a BATNA is your “best alternative to a negotiated agreement”—basically, what your team members think will happen if they can't resolve their dispute. Then ask them how their BATNAs will affect the rest of the team. Articulating consequence to the group may help them recommit to finding a solution.
- Refocus the discussion on the team's strategic objectives. Sometimes, the team members' shared interests are strong enough to compel a resolution on their own (see the box “Case study: Focus-ing team members on a shared goal”). Other times, you may need to push a little harder. Ask the team members to identify together the key priorities that their agreement should address and then limit the scope of the discussion to these issues alone: “This is a very complicated situation, and I can see it's wearing on everyone involved. But if we can't resolve *all* of it right now, that doesn't mean we can't resolve *any* of it. For now, let's focus on coming up with a solution for *X* issue.”

CASE STUDY

Focusing team members on a shared goal

Kelley Johnson, the owner of an eco-lodge in Belize, regularly has to deal with team dynamics. Since the lodge is in a remote location, it employs over twenty-five full-time staff who live onsite for weeks at a time. This close-knit work situation can often lead to conflict if not managed correctly. The lodge has four managers, including Katja, a German expat who runs the front office and oversees the staff when Kelley is off-site; and Carlos, a Belizean who is in charge of client services. Katja is incredibly organized and meticulous about her work. Carlos is a genius when it comes to client service, making each guest feel special. “He has an ability to make every guest feel as if they are the first one to ever see a snake,” says Kelley.

But last winter, Katja asked Kelley to fire Carlos because she felt he wasn’t doing his job. He regularly forgot to do tasks and was sloppy with his paperwork. She was frustrated and felt as if she was working twice as hard as he was. Carlos had also previously complained about Katja. He resented her criticism and felt she was too cold to their clients.

As Kelley saw it, they were both failing to understand each other’s talents. Kelley responded to Katja by asking her to take a step back and look at the situation. Carlos was failing to do part of his job description, but he was invaluable to the lodge. Katja conceded that his job description should be changed so that he could live up to expectations.

Kelley spoke to both employees, explained why each one was extremely valuable to the team, and asked them to appreciate what the other brought. They were part of a profit-sharing plan, which meant a piece of their salary hinged on the business. She asked them to focus on the larger purpose and to put their disputes behind them. With expectations reset, Carlos and Katja found a way to work together by accepting they had completely different styles but both cared ultimately about the same thing—making the lodge successful.

Source: Adapted from Amy Gallo, “Get Your Team to Stop Fighting and Start Working,” HBR.org, June 9, 2010.

Step 3: Get back to work.

“[T]he best way to heal war wounds is to start working again,” says Amy Gallo, the author of the *HBR Guide to Managing Conflict at Work*. “Get a relatively easy task in front of the group to help them rebuild their confidence as a team. As the leader, you can model moving on and focusing on work.” You can also model forgiveness. Hurt feelings and damaged egos are collateral damage at these times, and people may need to be reminded that it’s possible to let their anger go and that, in fact, you expect them to. “Going forward, it will be useful to establish a practice of regularly checking on how you all are working together,” adds Gallo. “This will help you identify problems before they turn into full-fledged disputes.”

So much of what you do as a manager is empowering diverse individuals to come together as a team and deliver shared results. Along the way, you need to bond team members to your purpose, establish shared norms, and navigate disagreements. Creating this kind of strong team culture is an essential prerequisite to the hard work you do as a high-performing team.

In the next chapter, you’ll learn how to leverage all of this hard-won teamwork to get the creative juices flowing.

Recap

- Bringing unique individuals with different points of view together in the workplace brings opportunities and challenges.
- Effective teams have a mix of competencies and backgrounds.
- Your role as a team leader is to create a work environment that allows each person to contribute fully.
- Defining group norms helps everyone understand how a good team member acts despite their differences and makes team members’ behavior more predictable.

- Building strong relationships on the team will help you engage valued team members who might otherwise feel marginalized by the group.
- Cross-cultural and virtual teams run higher risks of conflict and misunderstanding because communication is more difficult and cultural assumptions may be different.
- Team conflict can be constructive or destructive, depending on whether they produce better work and/or stronger intrateam relationships.

Action items

To build a team and its culture:

- ☐ Use the team audit in exhibit 12-1 to evaluate the strengths and weaknesses of the team's culture, and exhibit 12-2 to evaluate.
- ☐ Recruit a team that has a mix of training and skills, professional background, work style, motivation and goals, and life experience.
- ☐ Hone your sense of purpose together, asking the questions given earlier.
- ☐ Set team performance goals that you can be accountable to as a group, not as individuals.
- ☐ Define group norms that describe what it means to be a true team player, drawing from the "Rules inventory."
- ☐ Build relationships within the team that can sustain your work together going forward.

To manage a cross-cultural team:

- ☐ Observe closely. Be proactive in identifying potential sources of conflict, *before* they erupt. Areas likely to cause trouble are: direct versus indirect communication; trouble with accents or fluency; differing attitudes toward hierarchy; and conflicting decision-making norms.

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- ☐ Foster open-mindedness. Help your team members become aware of opposing cultural norms and encourage them to embrace new ways of doing things.
- ☐ Intervene judiciously. If your team members can work things out on their own, reorganize their work or take direct action to resolve indecision.

To manage a virtual team:

- ☐ Pick the right tools. Make sure your team's technology infrastructure matches their real needs.
- ☐ Clarify your expectations for engagement. Explain what behavior you expect from engaged team members and then hold people accountable.
- ☐ Have a backup plan. Ask your people to make their own plan Bs for when technology runs amok.
- ☐ Foster social bonds. Institute routines that help team members connect on a personal level.

To manage conflict on your team:

- ☐ Manage constructive conflict by setting clear ground rules, establishing shared processes, and providing criteria for how to make contentious trade-offs.
- ☐ Resolve destructive conflict by finding its root cause, facilitating a resolution, and normalizing any remaining tensions by getting right back to work.



13.

Fostering Creativity

Creativity is the ability to generate novel ideas. Creativity isn't just about developing innovative products and product features for your customers: a creative team can identify better ways to execute internal processes, find better ways to market a product, come up with better options in a negotiation, and solve problems more effectively. Enhancing team creativity is a goal-oriented, collaborative process that draws on each team member's skills, experience, and expertise.

Some people think that creativity only comes from “creative” people. But it responds to concrete cues, too. In this chapter, you'll learn how to lead productive idea-generating sessions and build a creative culture on your team.

Plan a creative session

You know you need a new idea—maybe you're trying to come up with a name for a new product or a feature for an existing one, or to imagine the

possibilities for a new business model entirely. Leading a brainstorm session isn't your only option. By planning how you'll facilitate your creative session, considering the timing, space, and rules, you can ensure that participants are energized, focused, and productive.

Find the right time

Plan the timing for your idea-generation session carefully. Depending on the scale of what you're trying to achieve, you may not be able to imagine a wide range of ideas, winnow down options, and come up with a plan all in one meeting. So before you send an invite, create an overarching timeline. When do you need your fresh idea to come to fruition? What milestones will you achieve in the meantime, and what scheduling constraints do you need to work around?

Once you have your timeline, do your best to schedule the initial session far in advance of your final deadline. Many people assume that creative minds come up with their best ideas when time is tight, but that's rarely true. Teams that are pushed to work creatively within an arbitrarily short time will burn out, and their performance won't be consistently great.

Creative sessions are mentally demanding, however, so keep each meeting to thirty minutes. If you decide that your team needs more time, you can reconvene, but it's better to stop and schedule a follow-up meeting than to force your group to keep grinding away unproductively.

Pick a time when people are likely to be at their peak energy, but not immersed in other distractions. First thing in the morning and late in the day are not ideal; likewise, avoid scheduling sessions right before a long break or a major work event. People won't pay attention.

Set the scene

If possible, choose a location where your team rarely meets in order to stimulate new thinking. If you need to use your regular space, play around with the room setup. Instead of sitting around a conference table, position chairs in clusters.

Ask your team to leave all laptops, tablets, phones, and other devices behind at their desks. Instead, supply the room with tactile tools beyond

the traditional whiteboard: huge pieces of paper, small colorful sticky notes, or a blackboard with colorful chalk. Cover any tables with paper that can be used for note taking, doodling, or drawing, and provide colored pens or pencils, markers, crayons, pipe cleaners, even clay. Even if people don't end up using these supplies for the work at hand, playing around with art can help bypass inhibition and ignite the imagination.

Don't limit these measures to game-day preparations. You can enrich your team's everyday physical environment, too. Encourage casual conversations and spontaneous meetings by setting up open seating and planting a few gathering places around the office: coffee machines, water coolers, relaxed seating, games. Take note of the places people are already gathering informally and make them more comfortable. Stock these places with creative tools like whiteboards, markers, flip charts, and art supplies, so that these fortuitous interactions can easily transition to something more creative.

Establish rules of conduct

In the last chapter, you saw how group norms help teams overcome difference and mitigate conflict. That's especially true when it comes to generating ideas, where these differences may be most on view and everyone's feeling exposed.

To create a sense of safety, set out ground rules at the start of your meeting. Write them on the whiteboard or where everyone can see them. You might invite the rest of the group to contribute their ideas, but be firm about the behaviors you expect. If these expectations aren't already a part of your team's ground rules, consider reinforcing them:

- **Respect all members of the group.** Ideas and assumptions may be attacked; individuals may not.
- **Be a good listener.** Everyone will have an opportunity to speak and should actively listen to others.
- **Value varying points of view.** Everyone has a right to disagree and challenge assumptions. Conflicting views are a valuable source of

learning and should be welcome when raised at an appropriate time in the discussion.

- **No idea is a bad idea.** No idea should be labelled “stupid,” “useless,” or any other negative descriptor. No one should be shamed for participating in the creative process.

These items may already be a part of your team norms and you can simply remind team members at the start of the session. Be sure to empower everyone in the group to help you enforce these guidelines by calling out bad behavior when it happens.

Tools for generating ideas

Successful idea-generating sessions may feel loose and spontaneous, but they actually have a lot of structure. That’s because our brains all need some help breaking free from their normal pathways.

Creative ideas arise from *divergent thinking*, when your team strikes out in a new thought direction, away from the familiar ways of seeing and doing things. This type of thinking allows your team to view a problem from novel perspectives, discover new connections between facts and events, and explore questions that have never been asked before. The goal is to quickly generate a wide variety of solutions for a given problem, without prejudging the merit of those options.

You can approach this process in a *solution-centric* or a *problem-centric* way, says innovation expert Thomas Wedell-Wedellsborg. In a solution-centric session, the group focuses on generating ideas around a broadly defined issue, such as “How can we improve our marketing plan?” By focusing on potential, future actions, instead of present conditions, you keep the group from locking in too tightly on just one point of view. You’ll generate a handful of highly original ideas, but a lot of nonviable ones, too. And if you end the session with a long list of options, you may not have the resources to process which one’s which.

By contrast, a problem-centric session focuses on solving a specific, clearly-defined issue. Because these sessions are grounded in making real

problems better, they generate fewer, higher-quality ideas that are easier to follow up on. But it's important to have someone in the room who really understands the problem, or the conversation can go off the rails.

How do you get a room full of professionals to think freely in this way? There are several different ways to structure your idea generation:

Brainstorming

This is probably the most well-known option for divergent thinking. The basic goal is to quickly solicit a lot of ideas from a group, and it's especially useful when you want to engage everyone on the team in an informal way. Especially with a solution-centric approach, you want quantity over quality, so encourage even the wildest ideas, no matter how strange. You never know where they may lead. If your team easily comes up with five ideas, push for twenty.

Help the team along by toggling between these three techniques:

- **Modifying.** How could your team members change or adapt the way they already do things to achieve some different outcome? Start by asking them to set some priorities: “We want to make this work process more responsive to changing information” or “We want to increase our sales conversion rate.” Then ask them to diagram all the tasks, roles, processes, and protocols involved in the problem. What margin does the team have for changing each of these elements? What are all the possible fixes you could make? Put the subject-matter experts for each issue in conversation with other members of the team, and invite nonexperts to explain how they experience the problem. You might be surprised to hear what your IT specialist has to say about your sales strategy, or what the person who sits next to the copier all day has observed about the way the team prepares for major presentations.
- **Visioning.** For a more solution-centric conversation, ask group members to imagine an ideal solution to the problem or question before you in great detail and then work backward to figure out how they might achieve it. Start with an open-ended question like,

“If our consulting company could provide *any* services, what would they be?” Assume that money, time, and resources are no object. Write every idea down (on sticky notes stuck to a window, for example) and invite the team to group related suggestions. Then ask, “What would we need to know and do to make each of these alternatives happen?”

- **Experimenting.** Create a complete matrix of all the elements at play in a problem—clients, services, resources, and so on—and then systematically combine and re-combine them to find new business possibilities. For example, if a car-washing company were looking to break into a new market, the team members might list the products they could wash, the equipment they could buy, and the products they could sell at the top of the matrix. Then, under each category, they would list all the possible variations they could think of, no matter how outrageous. The resulting table lets the team mechanically combine components to come up with new ideas: selling microfiber cloths for motorcycles, letting boaters wash their boats in company stalls, and power-washing homes with sprays and hoses. This exercise works well for solution- *or* problem-centric conversations, depending on how pie-in-the-sky the variables in your matrix are and whether there’s a subject matter expert on hand to guide the group toward viable combinations.

There’s no one right technique or right order to try them in. The trick is to keep things moving, so that when one line of thought goes stale, you’re ready with another prompt.

Mind mapping

This is a free-association activity that gets your team thinking visually to develop a constellation of interconnected ideas. Your team members may be able to generate more connections using this method than they would simply by listing ideas.

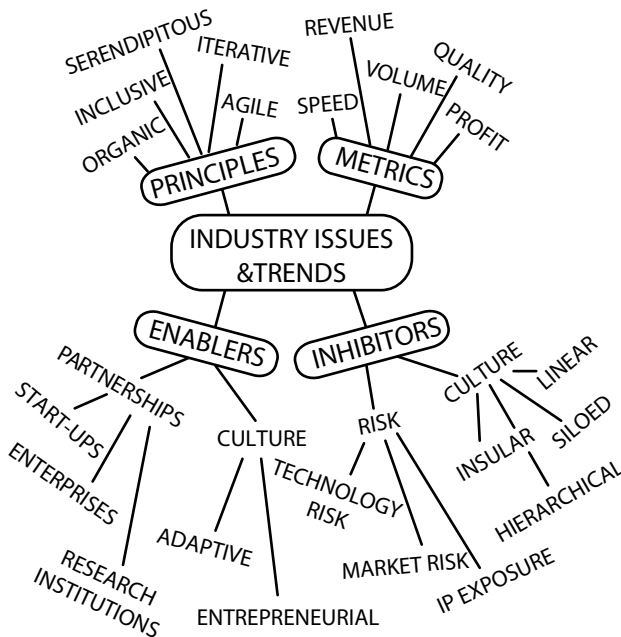
Begin by writing a keyword or concept in the center of a blank page or whiteboard. Hand out a bunch of sticky notes and have your team mem-

bers write down as many words related to the original ideas as they can in a fixed amount of time—say, ten in two minutes or twenty in five minutes. Then invite them to come up and add their words to the map. Don't evaluate or judge any of their notes yet, just put them on the board. Next, connect the ideas by moving the sticky notes around and drawing lines between them. Encourage the team to use colors to indicate action items, insights, doubts, and other important factors. (See exhibit 13-1.)

If there are ideas that don't connect to the original thought, that's OK. Leave the map up for everyone to see. And as new words and ideas emerge, add them. Someone might be inspired to offer a full-blown theory or plan: annotate the map with that information, too.

This technique is exploratory: you're working toward a shared understanding of an issue, and not a tidy list of next steps. To make the

EXHIBIT 13-1

Mind map

Source: Nancy Duarte, *HBR Guide to Persuasive Presentations*. Boston: Harvard Business Review Press, 2012.

conversation more problem-centric, try “question-storming,” say Jeffrey Dyer, Hal Gregersen, and Clayton Christensen, authors of *The Innovator’s DNA: Mastering the Five Skills of Disruptive Innovators*. Make the keyword for your exercise a specific problem, and then have people write down related questions on their sticky notes.

Catchball

Both mind mapping and brainstorming are great options for a team that’s starting the idea-generation process from scratch. If your team already has an idea or two on the table (such as an existing product or the typical solution to a common problem), consider using the “catchball” approach. Catchball has two goals: to improve on an existing idea and to gain buy-in from participants. You’ll need a single, focusing idea to get things started, so it works well in problem-centric sessions.

In this exercise, someone on the team “tosses” the initial idea to someone else. Whoever “catches” the idea must understand it, reflect on it, and improve on it in some way. Then that person tosses the modified idea back to the group, where it’s caught by someone else and improved further. (If anyone freezes up, the rest of the team can help them out.) As each person participates, they have the opportunity to tinker with the idea and enrich the conversation. The result is a shared sense of responsibility and commitment, regardless of where the idea originated. To see catchball in action, read the box “Case study: “Playing catchball with traffic safety.”

As your team builds ideas, assign someone to write down each and every one so you can discuss them later. Catchball tends to push people to move from generating ideas to narrowing them down too fast, but a note taker can help the group separate these processes.

Making sure all perspectives are heard

Whether you’re still generating ideas or you’ve moved on to evaluating them, as the team leader, you’re in a position to modulate the loud voices and amplify the soft ones. If the conversation really seems to be moving, it may feel awkward to interrupt the flow. But you need to get everyone’s

CASE STUDY

Playing catchball with traffic safety

Members of a neighborhood association are concerned about the large number of bike accidents at a certain intersection and want to gather ideas to take to city officials. Jake is the first to get the ball: “The traffic light pattern needs to be changed.” He passes the ball to Sonia, who elaborates: “There needs to be a ‘left on green arrow only’ signal.” Next, to Vijay: “I like that. Can they shorten the yellow light, too?” Finally, to Alessandra: “And maybe reprogram the traffic light pattern for a few blocks in each direction, so fewer cars end up fighting through that intersection at once.” The team now has some ideas to present at the next city council meeting.

point of view and stop the team from coalescing around an idea or solution before that happens. Here’s how to do it:

Ask people to talk—or to stop talking

- Call on quiet participants directly. “Felicia, we haven’t heard from you yet. Are we missing any big issues here?” “Vijay, what’s your biggest concern about this approach?” Some people might turn red, but at least you’ll get their opinion. And they’ll get to practice speaking in a group if that’s something they’re working on.
- Make sure your virtual participants are heard. Spend the first five minutes of the meeting on chitchat that specifically engages them—about the weather, sports, weekend activities, and the like. As the session unfolds, make sure to check back in with them. A sticky note on your computer or at the top of your tablet can help; you might also deputize someone else in the room to keep track of virtual participants. You can even set a vibration alarm on your

smartphone to go off every ten to fifteen minutes as a prompt to engage virtual attendees.

- When you've hit upon a particularly fruitful line of thought, watch for body language that indicates someone is eager to jump in. Leaning forward and making eye contact with the speaker are big cues. Acknowledge these participants with eye contact or a nod, signaling that you see them and that you'll call on them in a minute. This will help them focus on what's being said, not whether they'll get the chance to speak.
- Keep louder attendees from dominating. Try scripts like "Thanks for those comments. Now let's hear from someone who hasn't had a chance yet." "Before we hear from you, Akila, I'd like to hear from Young-Ju."

Structure the conversation so it feels safe to take risks

- If your meeting has a dozen or more participants, break the group into pairs or trios, and have each unit report back about a particular aspect of the problem. You might ask them to run different idea-generating exercises—one group does mind mapping, while another does visioning. This arrangement ensures that people who wouldn't speak up in front of the whole group can still be heard.
- Appoint someone to play devil's advocate. This role is about challenging assumptions, not attacking other people for the sport of it. Pick someone with tact and humor for this role, and make sure the rest of the group knows what's going on. Incorporating this person's contributions into the general discussion will show that you're open-minded and ready to make space for unpopular ideas.

Push for "second thoughts"

- Ask general questions such as "Have we forgotten anything?" "What's our blind spot?"

- Give the group a little time to think things over. If the ideas don't come rushing right away, don't give up on a particular technique. Pause and scan the room, looking for people you can make eye contact with. Then address them in a friendly way: "What's the first thing that came to mind for you?" As the conversation advances, let people circle back to earlier ideas. Revisiting old comments doesn't mean the conversation is losing focus; it means people are making connections.
- Let people know they can share feedback after the meeting too, once they've had more time to reflect.

Your role throughout this process is to be as supportive of the wide range of ideas as possible. Never show that you think an idea is silly, and thank everyone for their contributions at the end of the meeting.

Dealing with negativity

When you make an effort to bring all perspectives to the table, you're going to hear some negativity. People won't like everything that's said, and they may not like the very idea of changing how they do things. You might hear:

- **It's not needed.** "Our product sells well, and customers report a high level of satisfaction. Why do we need a new formulation?"
- **It's too risky.** "There are too many unknowns about how this alternative will work. We may lose customers if it's not as good as our current product."
- **It's too expensive.** "We don't have money to invest in a new initiative."
- **It won't work.** "Two years ago, we reformulated this program. It was a total flop, and we lost a lot of customers."
- **It's not technically feasible.** "The new product can't be done to our quality standards."

EXHIBIT 13-2

Techniques for overcoming resistance

Tactic	Method	Scripts
Persuasion	• Invite everyone to respond with data, evidence, facts, and logic. • Throw the idea back to the person who originated it: What does the person see as the key benefits?	• “You raise some important issues. If I’m hearing you right, your main concern is X. Can anyone respond to that?” • “Help us understand why you think this won’t work. Then someone else in the group can explain why they think it will.”
Participation	• Engage the resister by asking for the person’s ideas or other contributions. • Connect the attractive parts of the idea to other options this person has already embraced. • Show your appreciation for the person’s contributions.	• “I can tell you have strong opinions on this, and that’s great. What other alternatives do you have in mind? How would you adapt this idea to make it work?” • “This idea is building on your earlier suggestion that we do X. How could your suggestion be better realized here?” • “I think it’s great that we challenge each other productively. Thanks for bringing up these issues.”
Facilitation	• Ask the person what would make them comfortable with this idea. • Ask what downsides the person is concerned about, and invite the team to brainstorm how you could mediate those effects.	• “Wow. I didn’t know this was something you cared so deeply about. Tell us more about your thoughts on this.” • “I appreciate your perspective, and I’m happy we’re having this conversation. Can you share more specifics about your concern or help us understand what we may have missed?”
Negotiation	• Push the group to consider compromises or trade-offs in the design to address the resister’s concerns. • Push the resister to engage with new suggestions.	• “I think [team member] has done a good job explaining their concerns. Everyone, what fixes could help resolve this issue?” • “[Team member], we’ve heard a couple ideas for resolving this issue. What seems most workable to you?”
Direction	• Use your power to redirect harmful comments.	• “We can always count on you to tell us what you think. For now, though, we need to move on.” • “I appreciate that you’re not afraid to say what’s on your mind. Let’s circle back to this later.”

Source: Adapted from “Innovation Implementation” in *Harvard ManageMentor*. Boston: Harvard Business School Publishing, 2016. Electronic.

- **It will change the group's culture.** “We’ve never done things that way before. It’s just not how we work.”

Don’t let these comments discourage you. You can head them off in part by putting in place strong group norms that emphasize respect and positivity. But when someone violates these norms, or if they have other objections, you’ll need to respond promptly to keep their comments from derailing the rest of the room. Exhibit 13-2 describes five tactics for keeping the conversation productive: persuasion, participation, facilitation, negotiation, and direction.

Keeping the conversation positive isn’t about ignoring serious challenges to an idea; it’s about keeping everyone engaged in coming up with solutions and coming to new ideas with an open mind.

Trying new tools and techniques for generating new ideas can help your team become more creative when you have a particular problem to solve. But creating a supportive, safe environment will help your team members perform at their best in their other work as well. If they trust you and their peers to engage with their ideas in good faith, they’re more likely to lean into hard problems and develop creative, effective solutions.

Recap

- *Creativity* is the ability to generate novel ideas, whether innovative products or features, better ways to execute internal processes, or unexpected solutions in a negotiation.
- Creativity doesn’t just come from “creative” people.
- Planning the timing and setting of a creative session can make it more productive.
- There are a number of different tools and approaches for generating new ideas; brainstorming isn’t your only option.

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- Getting everyone's perspectives is very important; creative ideas come from unexpected places.
- Feeling psychologically safe helps individuals take risks and generate new ideas.

Action items

Plan an idea-generating session:

- ☐ Pick a time for your idea-generating session when people will be at peak energy and that also gives you a chance to hold follow-up sessions.
- ☐ Create a space that is both stimulating and allows the team to focus.
- ☐ Establish rules of conduct that reinforce respect for all ideas and points of view.

Lead an idea-generating session by deciding if you want a solution-centric or a problem-centric approach, and then considering the following options:

- ☐ Invite your team to envision an ideal future for the problem, absent any constraints. Then work backward to figure out how it could happen.
- ☐ Ask your team to find fixes to the current situation. Put experts and non-experts into active dialogue about each solution.
- ☐ Conduct a mind-mapping exercise, connecting how each team member sees the issue in a single, unified schema.
- ☐ Orchestrate a game of catchball, where one idea is passed from person to person and each team member contributes a new twist.

Encourage everyone to participate:

- ☐ Before your next idea-generating session, take five minutes to write down your go-to scripts for those awkward moments when you need to interrupt someone or solicit a silent participant.

- ☐ Create a dedicated online space where team members can debrief after the meeting or register their follow-up thoughts—the team site, a group chat, something that’s easy for everyone to access and that won’t result in a lot of annoying email spam. Monitor the site regularly so that when people contribute, you can acknowledge their comments.

Manage resistance to new ideas:

- ☐ Listen for the root cause of the resistance. Does the person think the innovation is unnecessary? Unworkable? A threat to their position?
- ☐ Invite the group to make a persuasive case for the idea in play.
- ☐ Engage a person in an active conversation about their concerns. Push them to participate in a real dialogue, and facilitate a back-and-forth discussion between them and the idea’s champions.
- ☐ Redirect the conversation when the negative comments can’t be productively addressed.



14.

Hiring—and Keeping—the Best

You've heard it often: employees are your organization's most important assets. Their skills, institutional knowledge, and motivation to work are the key factors differentiating your company from the competition.

As a manager, your role is to bring the best, most promising talent into the organization. To some extent, this is work you must do daily—helping team members find their place and creating opportunities for them to shine. But it also requires some big-picture thinking about how you find the right people, design satisfying jobs for them, and maintain their motivation through the ebb and flow of daily work life, particularly when you have the opportunity to make a new hire.

Crafting a role

Before you can make a good hire, you need to know what you're hiring *for*. You also need to determine which skills and personal attributes will make a candidate a good fit with the requirements of the job and the

organization—and with the culture of your team. It's the difference between hiring an accountant and hiring an accountant with the technical knowledge, creative mindset, and leadership skills to lead the overhaul of the billing systems you have planned.

This isn't just a matter of filling vacancies. Your team can and should evolve, depending on the people who join it. A new team member who's highly disciplined and driven may push the group to streamline its work processes, while someone with strong interpersonal skills can strengthen collaborative relationships. To get the most value from the recruitment process, approach it as a practical *and* an aspirational exercise. Let your guiding concerns be “Who can do this job the best?” and “Who will help our team continue to grow?”

To answer these questions, gather information about the job itself, the kind of person who can do it well, and the environment in which they be working.

Step 1: Define the job's primary responsibilities and tasks

If you're rehiring for an existing role, look at what the incumbent is doing and evaluate that person's job description. Is it still accurate and relevant? To find out, talk to other team members who work closely with this person: “How would you describe this role? What are the most important things this person does, from your perspective?” Also talk to your own boss: “Going forward, what strategic objectives would you really like to see this role support? What responsibilities do you put the most emphasis on?”

Finally, read through old performance evaluations. When past employees performed well in this role, what accomplishments were most important? What failures had the worst impact on the rest of the team?

Step 2: Describe the ideal candidate

Education and experience are two of the most critical pieces of information you'll consider when evaluating candidates. In the case of education, you may wish to specify a certain type of degree or a certain level. Ask yourself when these specifications are truly necessary. Can you be flexible in this area, or is industry or functional experience an adequate substitute?

Establishing criteria for personal characteristics is more difficult. It may help to talk to your coworkers and review your own files. What traits and abilities made past employees successful? What weaknesses were the most difficult to compensate for or to reform? Think about analytic and creative abilities, decision-making style, interpersonal skills, and motivation. The right characteristics aren't absolute; they depend on the rest of the team members and how they work. Consider following up with a group session, in which you all can reach a consensus about the ideal candidate.

Step 3: Evaluate the environment: team culture

Naturally, you want to hire someone who can get along with the group—who will understand its sense of humor, fall in line with its norms, and share in its identity. But you also want someone who fills any gaps on your team in behaviors or competencies. Maybe you're all creative problem solvers, but you don't have strong communication habits. See chapter 12, "Leading Teams," for more on identifying competency and cultural gaps on your team.

Step 4: Write the job description

Once you've studied these three categories—the job's responsibilities, the ideal candidate, and the cultural fit—you're ready to create a job description. This is a profile of the job, its essential functions, reporting relationships, hours, and required credentials. Having all this information in one succinct description will make it possible for you to explain the job both to potential candidates and to any recruiters you may be using to identify candidates.

In some cases, your organization may have a required format or standard job description you can use as a model. If you're writing one from scratch, include the following information:

- Job title, business unit, and the name of the organization
- Job responsibilities and tasks
- Hiring manager and reporting manager

- Summary of the job tasks, responsibilities, and objectives
- Hours, location, and any information about compensation that you can provide
- Experience and training required

Your description should not be discriminatory and should comply with all relevant legal restrictions. In the United States, for example, stated job requirements must clearly relate to getting the job done and must not unfairly prevent racial minorities, women, people with disabilities, or other protected classes from being hired.

Many of these items will probably have to be cleared with your HR department before you're ready to move on to the next stage: recruitment.

Recruiting for potential

Recruiting actually works best when you aren't hunting too strictly for competency and experience, but rather for *potential*, according to Claudio Fernández-Aráoz.

Fernández-Aráoz, a senior adviser at the global executive search firm Egon Zehnder, has spent thirty years evaluating and tracking executive performance. He explains:

In a volatile, uncertain, complex, and ambiguous environment, competency-based appraisals and appointments are increasingly insufficient. What makes someone successful in a particular role today might not tomorrow if the competitive environment shifts, the company's strategy changes, or he or she must collaborate with or manage a different group of colleagues. So the question is not whether your company's employees and leaders have the right skills; it's whether they have the potential to learn new ones.

Recruiting world-class talent

You've determined the competencies and experience that candidates should bring to the position you're trying to fill. Now that information will help recruiters, applicants, and everyone else involved in the hiring process understand, "What *is* this job?"

The purpose of the recruitment process is to find a candidate who embodies the traits you defined earlier and who meets the basic requirements outlined in your job description. Beware, however, of focusing *too* narrowly on the description (see the box "Recruiting for potential").

To identify high-potential candidates, Fernández-Aráoz looks at five traits:

- **Motivation**—a fierce commitment to excel in the pursuit of unselfish goals
- **Curiosity**—a penchant for seeking out new experiences, knowledge, and candid feedback and an openness to learning and change
- **Insight**—the ability to gather and make sense of information that suggests new possibilities
- **Engagement**—a knack for using emotion and logic to communicate a persuasive vision and connect with people
- **Determination**—the wherewithal to fight for difficult goals despite challenges and to bounce back from adversity

If you emphasize these intrinsic qualities in your search, you'll prioritize candidates who have the internal resources to succeed in unfamiliar and rapidly changing environments

Source: Claudio Fernández-Aráoz, "21st-Century Talent Spotting," *Harvard Business Review*, June 2014.

Step 1: Get the word out

Gaining access to qualified candidates is critical to the success of your hiring effort. To do so, push information about your search through as many appropriate channels as possible. Work with your HR department to get the job posted on your company careers site, as well as with recruiting agencies, job websites (the more narrowly targeted, the better), industry conferences, trade publications, and campus recruiting. Also get referrals from colleagues.

Often the best candidates come from personal connections, so complement HR's efforts by sharing the posting through your social media network. Ask your colleagues to also spread the word (see whether your company offers rewards to employees whose referrals are actually hired).

Step 2: Screen résumés

The cover letter and résumé are the candidate's first introduction to you. When you have a large number of résumés to review, a two-pass process will make the task more manageable. In the first pass, eliminate candidates who fail to meet the basic requirements of the job. In the second pass, look for résumés that include:

- Signs of achievement and results: for example, a profit orientation, stability, or progressive career momentum
- Confidence and aptitude for complex environments
- Diversity of experience and skills
- Language that mirrors the cultural norms of the organization
- Clear packaging or presentation via the résumé and letter

Be on alert for red flags, too, such as:

- A lengthy description of the applicant's education or personal background versus experience
- Unexplained employment gaps

- A pattern of short-term employment, especially after the applicant has been in the workforce for more than a few years
- No logical job progression or continuity
- Lack of results or accomplishments

Your goal here is to narrow down the list of contenders, but don't be too strictly bound by what you've said you're looking for in the job description. Résumés and cover letters by their very nature tell you more about experience and competency than about someone's potential for growth. So keep an eye out for applications that, while they may not match your needs perfectly, show sparks of promise: a personable, dynamic cover letter, or a résumé with an irregular but intriguing job progression. These might be signs of a candidate who's responded creatively—and successfully—to an increasingly unstable job market. You can ask about these anomalies at the interview.

Step 3: Conduct interviews

Ask each candidate the same core questions, but leave yourself room to follow up on promising lines of inquiry. To get the best sense of your candidate, chart a middle path between a structured and unstructured interview. The conversation should proceed in three phases:

- **Opening.** This should take 10 percent of the allotted time. You want to make the candidate feel comfortable so that they'll answer your questions openly, so start on time and be friendly. Introduce yourself, explaining what your role is and offering something about yourself: how you got started at the company, or how you made a personal connection with a certain detail in their cover letter or résumé. If other people are sitting in on the interview, they should also introduce themselves. It's OK to acknowledge some of the awkwardness of the situation. A little humor can put interviewees at ease.
- **Body.** Plan to use 80 percent of your allotted time in this phase. Here you must gather the information that will help you evaluate candidates and also to "sell" your organization. Using your core

questions as a guide, pursue a direct line of questioning based on the applicant's résumé. Identify similarities and patterns of behavior consistent with your idea profile, ask directly for details, and probe for tangible measures of success. You should ask most of the questions and do most of the listening, around 80 percent of the time. After all, you'll learn nothing while you're talking. Take good notes with concrete details, not just your overall impression. They'll help you recall significant facts and make your case for your preferred candidate to the rest of the hiring committee. Also ask the interviewee if they have any questions, especially ones that might affect their understanding of the position or their decision to participate in the next step of the hiring process.

- **Close.** Use the last 10 percent of the interview to wrap up the conversation. Thank the candidate for coming in and explain how and when they'll hear about follow-up interviews or decisions. Briefly remind them of the strengths of your organization, tailored to the issues you've learned are most likely to affect their decisions. Ask if they have any final questions, then shake hands and walk out with them.

Your success in this format will depend on whether or not you ask good questions. See the box "Interview questions" for scripts to use as you prepare.

During or immediately after the interview, you or your HR recruiter should ask the candidate for references. When you speak to these people, as well as any other managers, coworkers, or supervisees you know who are connected to the applicant, verify the basic claims the interviewee has made. But you can also employ variants of the questions in the "Interview questions" box to gain a more complete picture of the candidate.

Step 4: Evaluate candidates

Judging other people for a job is always a subjective exercise. How smart are they, really? Will they get along with the rest of the team? Do they seem genuinely motivated to succeed, or are they just putting on a show? Before

Interview questions

TO GAUGE EXPERIENCE AND COMPETENCIES

- “What three things in the past six months are you the most proud of?”
- “Tell me about your experience with X group in X industry. How is this relevant to this position?” (Repeat)
- “What was your role in achieving X outcome described on your résumé?”
- “How did you gauge success in X role?”
- “What is the most challenging goal you’ve ever been given?”
- “What connects all the jobs on your résumé?”

TO LEARN MORE ABOUT THEIR PERSPECTIVE

- “Which of your roles did you enjoy the most and why?”
- “How would your peers describe you, using five adjectives?”
- “What’s the biggest failure you’ve experienced and how did you handle it?”
- “Given industry trends, how do you think this role will evolve over the next three to five years?”

TO GAUGE POTENTIAL

- “What do you do to broaden your thinking, experience, or personal development?”
- “What steps do you take to seek out the unknown?”
- “How do you invite input from others on your team?”
- “How do you react when someone challenges you?”
- “Why do you think you were selected for a growth opportunity?”

(continued)

TO GAUGE THE CULTURAL FIT

- “What type of culture do you thrive in, and why?”
- “What values are you drawn to and what’s your ideal workplace?”
- “Why do you want to work here?”
- “Tell me about a time that you disagreed with a colleague or your boss and how you handled it.”

you make a decision based on your impressions, determine as clearly as you can what biases you may have that could inappropriately affect your decision. Seek outside validation from references and others on the hiring committee, and come to a decision that uses your subjective judgments in the best possible way. That means picking someone because you think he’s really determined to succeed, not because you went to the same college or because he is cheerful or easy to talk to.

To organize your evaluation, create a decision-making matrix like the one in exhibit 14-1. For each category, rate the candidate on a scale of 1 to 5, with 5 indicating “excellent.” (It’s best to do this immediately after the interview; if you can’t, use your notes.) Then, in the “Notes” section, write down what seemed truly outstanding to you about this candidate, what worried you, what confused you or seemed anomalous, and finally, what personal biases might be affecting your point of view. Do not overlook this last step. Acknowledging your own biases is a critical part of any decision-making process. Doing so doesn’t invalidate your judgment; it helps you double-check and, ultimately, defend the validity of that judgment.

Ask the other members of the decision-making team to fill out a chart like this, too. As a shared starting point, this information will help members corroborate their subjective opinions and work through any conflict in an organized manner.

EXHIBIT 14-1

Candidate evaluation worksheet

Job title:

Ratings, 1 (poor) to 5 (excellent)							
Candidate name	Education	Previous experience	Job accomplishments	Personal attributes	Cultural fit	Potential	Total
	Notes:						
	My biases:						
	Notes:						
	My biases:						
	Notes:						
	My biases:						

Source: Harvard Business Review. *Harvard Business Essentials: The Manager's Toolkit*. Boston: Harvard Business Review Press, 2004.

Ultimately, you all must answer two questions: “Do we have enough information to make a good decision?” and “Do we want this person to work for us?” If the answer to both is yes, congratulations! It’s time to make an offer.

Step 5: Make an offer

Be sure that you understand your organization’s policy on who makes the job offer. In some companies, the immediate supervisor or manager does this; in others, it’s the job of the HR department.

Job offers are usually made in person or by telephone. After extending a verbal offer, you should also send a written confirmation. In both cases, make the offer with enthusiasm and a personal touch, perhaps by referring to something positive that you recall from the interview. Probe candidates for information about any concerns, the timing of their decision, and other positions they may be considering.

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An offer letter is an official document, so be sure to seek advice from HR before you send it. Do *not* imply that the offer is an employment contract. Include important facts in the letter, such as:

- Starting date
- Job title
- Expected responsibilities
- Compensation
- Benefits summary
- Time limit for responding to the offer

If your candidate accepts the offer, your responsibilities as a talent manager are far from over. Now that you've hired the talent, you need to figure out how to keep it.

Retaining employees

The retention of good employees matters for two bottom-line reasons. First, when employees leave, your company loses their knowledge and their (often expensively) acquired skills. When those employees go to a competitor, the loss is compounded.

A low retention rate also imposes high costs on your organization in terms of job searches. The US Department of Labor estimates the total costs of turnover at about one-third of the new person's yearly salary. Among managerial and professional employees, or people with rare and difficult-to-acquire skill sets, that proportion increases dramatically. In emerging markets, according to the researchers, "the supply of experienced managers is the most limited, and the shortage is expected to continue for another two decades." Strong retention practices would help these companies keep talented employees in a competitive environment.

Understanding why employees come or go is critical to creating stability on your own team. Five issues tend to underlie employees' decisions to stay with an organization:

Issue 1: Pride and trust in the organization

People want to work for well-managed companies with strong missions and skilled, resourceful leaders. When they don't trust the leadership or when they feel the organization is squandering their work, they'll leave.

What to do.

Look for ways to communicate your company's leadership to your team in a positive, concerted way, and connect your team's work to the overall mission of the organization at every possible opportunity. That might mean including an agenda item at each meeting where you discuss how the meeting's business connects to the company mission and your team's strategic objectives.

Encourage your employees to attend companywide events where they can observe and talk to company leadership and, when appropriate, invite them along in small groups to your meetings with higher-level management. If events in your organization, like layoffs or poor quarterly performance, shake employee trust, talk to your team proactively about what the company is doing to turn things around. Highlight the opportunities these turbulent times create for your people.

Also invite your own boss and others to visit your team's work space in informal walk-throughs or meet-and-greets. This sort of interaction can build trust in both directions.

Issue 2: The relationship with their supervisor

People want a boss whom they respect and who supports them. They become alienated from the company when this relationship becomes stressful or problematic, and they don't see any other options in the organization.

What to do.

Although it's your job to manage up and build influence within your organization, in your team's eyes your relationship with them is primary. Employees are highly sensitive to whether you see them as assets that need to be managed for maximum output or people whose development you

genuinely care about; hence the importance of the strategies in chapter 3, “Emotional Intelligence,” and chapter 11, “Developing Talent.”

Issue 3: Meaningful work

People want to work for companies that let them do the kinds of things that appeal to their deepest interests. Satisfying and stimulating work makes all of us more productive. When their responsibilities shift to something less favorable, they seek out better opportunities.

What to do.

Talk to your employees regularly about the fit of their role. When there’s a pervasive misfit (“I’ve always felt I do my best work as a strategic thinker, but lately my job has shifted mainly to execution”), it’s time for a job redesign. If you can identify the elements that are generating satisfaction and dissatisfaction in a particular job, you may be able to split off the unwelcome tasks entirely and give them to other people who will appreciate the work. If you can’t completely reformat the role, consider other measures that might alleviate your team member’s unhappiness: setting up a job rotation or stretch assignment (see the section “Stretch assignments” in chapter 11), adding variety to a repetitive job, or engaging isolated employees in occasional team projects. If a job involves some truly repugnant tasks, consider eliminating or outsourcing those tasks. The cost of outsourcing might actually be lower than the cost of a high turnover rate.

Issue 4: Work-life balance

People want to work in an environment that doesn’t cut them off from the other sources of meaning in their life—family, community, extracurricular activities. They look elsewhere when work isolates them from these touchstones, or when it imposes unbearable mental and emotional burdens.

What to do.

Many jobs have periodic rough patches, when work-life balance is just *hard*. As you coach your team, share with them the techniques in chap-

ter 7, “Personal Productivity.” Make sure your employees understand the business priorities that are making life so difficult for them right now and the personal payoff for them. Above all, acknowledge the sacrifice. The dismissive attitudes of “Chin up” or “This is just how we do it” are deeply alienating for someone whose home life is in crisis. You should also experiment with new ways to get work done, like remote work and flexible hours.

Outside of these crunch times, set a tone that normalizes a fulfilling life outside work. Encourage people to talk about how they spent their weekends, what their vacation plans are, how their kids are doing, and what new hobbies have caught their interest. Make it clear that you approve of healthy work-life boundaries, and that you don’t see them as a threat to your team’s dedication.

Issue 5: Fair compensation

People want to work for companies that pay them fairly for their labor. This includes not only competitive wages and benefits but also intangible compensation in the form of opportunities to learn, grow, and achieve.

What to do.

This is a complicated issue to finesse. On the one hand, if talented employees feel undervalued, they’ll leave. Even people with strong intrinsic motivations see their compensation as an indication of the organization’s appreciation for their contributions and abilities. But compensation isn’t a completely reliable motivator. Years ago, Frederick Herzberg, a founder of motivation studies, found that pay raises produce temporary performance improvements at best; other research corroborates that simply offering more money isn’t a powerful retention tool.

So what should you do? Claudio Fernández-Aráoz (a senior adviser at the executive search firm Egon Zehnder), Boris Groysberg (a professor at Harvard Business School), and Nitin Nohria (dean of Harvard Business School) collaborated on an analysis of how companies assess and manage their rising stars, and first and foremost they suggest offering a fair and market-wise salary. Any money you save with a below-market rate, you’ll lose in depressed profits and turnover costs. But don’t go overboard. Even if

you can afford “excessive” financial incentives, they might backfire. “While companies need to pay people well to attract and retain high potentials in the first place, they should be careful not to overdo it, because that is the surest way to demotivate employees who are not classified as high potentials, who may feel unfairly paid.”

For any individual on your team, some issues will matter more than the others. As you work with your team members, determine which motivations matter the most to each person so you can tailor your retention strategy to their needs.

Motivation and engagement

In the previous section, you considered employee retention from a strategic standpoint: “Where are the most important pressure points? What can I do to make these work in the company’s favor?” All of the concerns outlined earlier, from organizational pride to fair compensation, are different expressions of the same underlying issue: employee motivation.

What makes people want to belong to your team? What makes them want to do what you ask, to the very best of their ability? These questions seem so fundamental that it’s easy to imagine they don’t have real answers. They do. Decades of research (starting with Herzberg, mentioned earlier) have given us a remarkably coherent picture of what truly engages people in their jobs: interesting, challenging work; and the opportunity to achieve and grow into greater responsibility.

Recent research by Teresa Amabile, a Harvard Business School professor, and her collaborator Steven Kramer bear this out. Amabile and Kramer studied how to drive innovative work in organizations and found that “of all the things that can boost emotions, motivation, and perceptions during a workday, the single most important is making progress in meaningful work. And the more frequently people experience that sense of progress, the more likely they are to be creatively productive in the long run.” They call this the *progress principle* and encourage managers to provide “catalysts and nourishers” that help people feel as if they’re advancing

every day, for example, by setting clear, achievable short-term goals and giving team members autonomy as they pursue them, expressing respect to team members, and so forth.

Herzberg's own original recommendation to “enrich” your team's work includes seven strategies for keeping your employees motivated (see exhibit 14-2).

As a manager, you must constantly balance the needs and desires of individuals with those of the company. Whether you're hiring a new candidate or trying to reengage a dissatisfied worker, you need to understand and maximize the value they bring to your team. But you must keep their

EXHIBIT 14-2

Principles of job enrichment

Principle	Motivators involved
Removing some controls while retaining accountability. <i>For example, limit the number of times employees need to bring a decision to you for a sign-off. Instead, schedule a standing meeting where they can update you about their work and you can offer guidance.</i>	Responsibility and personal achievement
Increasing the accountability of individuals for own work. <i>For example, attach clear goals to specific tasks and then ask employees to report to you on their progress toward that goal.</i>	Responsibility and recognition
Giving a person a complete, natural unit of work (module, division, area, and so on). <i>For example, give your salespeople responsibility for different geographic regions or customer segments.</i>	Responsibility, achievement, and recognition
Granting additional authority to employees in their activity; job freedom. <i>For example, invite employees to redesign a work process that they think could be better.</i>	Responsibility, achievement, and recognition
Making periodic reports directly available to team members themselves rather than to supervisors. <i>For example, convene a team meeting to discuss quarterly results, share credit, and discuss next-quarter goals.</i>	Internal recognition
Introducing new and more difficult tasks not previously handled. <i>For example, delegate selected leadership tasks or create a stretch assignment.</i>	Growth and learning
Assigning individuals specific or specialized tasks, enabling them to become experts. <i>For example, ask employees to study an issue on the team, perhaps one that resonates with their job description or past experience, and to make a recommendation to you about a course of action.</i>	Responsibility, growth, and advancement

Source: Frederick Herzberg, “One More Time: How Do You Motivate Employees?” *Harvard Business Review*, January 2003.

interests in mind as well—how best to motivate, reward, develop, and advocate for them. One does not take clear precedence over the other; rather, they're symbiotic. Companies depend on satisfied and dedicated employees to succeed; employees depend on strategic leadership for their own happiness and sense of worth.

In this section, you've learned how to think about the employee side of this equation. In part five, "Managing the Business," you'll learn how to think about the business side.

Recap

- Your role as a manager is to bring the best, most promising talent into the organization.
- Before you can make a good hire, you need to know what you are hiring *for*.
- Instead of just filling vacancies, consider how you want your team to evolve. What new competencies are you looking for?
- As you recruit candidates, beware of focusing *too* narrowly on the description. It can be more important to find someone who can grow.
- Retaining talent is vital to the organization because turnover costs are roughly one-third of the person's salary.
- Understanding what makes someone want to stay with your company and belong to your team can help you motivate your employees.

Action items

To define the role you are hiring for:

- ☐ Use the current job description and talk to the incumbent, their colleagues, and even your boss to define the primary tasks and responsibilities associated with the role you will fill.

- ❑ List the personal and professional attributes your ideal candidate should have. Talk to your team and your colleagues and review past employees' performance reviews to pinpoint the most important qualities.
- ❑ Synthesize all this information in a job description and run it by your HR department.

To recruit talent:

- ❑ As you begin your search, get the word out through the people and channels that are most likely to produce high-quality candidates.
- ❑ In interviews, listen much more than you speak. Ask questions that allow you to understand all facets of a candidate's professional experience and perspective.
- ❑ Evaluate candidates in a standardized way, so that you can identify your biases and compare opinions meaningfully with your colleagues.
- ❑ Find out who in your company is authorized to make a formal offer. Issue the offer over the phone or in person, and follow up with a letter.

To retain employees:

- ❑ Build connections between your team and the organization's leadership, whether that means talking about the vision and activities of leaders or arranging in-person meetings.
- ❑ Be open to redesigning a job when it goes stale.
- ❑ Actively coach team members through difficult stretches in their work-life balance, and encourage them to find fulfillment outside work.
- ❑ Pay your employees fairly, but don't expect money to make up for other, fundamental dissatisfactions.

To motivate your employees:

- ❑ Initiate informal conversations about what Amabile and Kramer call the "inner work life" of your team, one-on-one or with a group of people who

share the same role. Ask “How interested in and challenged by your work do you feel right now? In what parts of your job do you think you’re really growing? What parts seem stagnant?”

- ☐ Review the total distribution of tasks and responsibilities across your team. How could you shift these elements between different roles to deepen individual team members’ opportunity for expertise or sense of ownership?
- ☐ Overcommunicate about changes in plans. When priorities shift, deadlines change, or assignments get axed, talk to your employees up front about why this is happening and what it means for them. Emphasize the value of the work they’ve already done and explain how that value will be carried forward in the new scheme.